

Sliding Scales of Both Types. Sliding-scale arrangements of both types are also encountered in option-warrant issues.

Examples: Interstate Department Stores, Inc., 7% Preferred, issued in 1928, carried nondetachable warrants entitling the holder to purchase common stock, share for share, at the following prices:

\$37 per share up to January 31, 1929.

\$42 per share up to January 31, 1931.

\$47 per share up to January 31, 1933.

Central States Electric Corporation Optional 5 $\frac{1}{2}$ % Debentures, due 1954, carried detachable warrants entitling the holder to buy, on or before September 15, 1934, 10 shares of common stock for each \$1,000 bond, at the following prices:

\$89 per share for the first 25% of the warrants exercised.

\$94 per share for the next 25% of the warrants exercised.

\$99 per share for the next 25% of the warrants exercised.

\$104 per share for the last 25% of the warrants exercised.

As with convertibles, a sliding scale based on the “block” principle detracts greatly from the value of the privilege until the last block, *i.e.*, the highest price, is reached, at which time it becomes an ordinary purchase option.

Methods of Payment. Stock-purchase warrants attached to bonds or preferred stocks frequently provide that payment for the common stock may be made either in cash or by turning in the senior security itself at par. Such an arrangement may prove directly equivalent to a conversion privilege. For example, each share of American and Foreign Power Second Preferred was issued with warrants to buy 4 shares of common at \$25 per share. Instead of paying cash, the holder can tender preferred stock at a value of \$100 per share. If he does so, he is actually *converting* his preferred stock with warrants into common.

Similarly, the Rand Kardex 5 $\frac{1}{2}$ % bonds, described in Chap. 22, could be tendered at par, in lieu of cash, upon exercising the warrants. Since the warrants attached to a \$1,000 bond called for payment of \$900 (22 $\frac{1}{2}$ shares at 40), the owner of a \$1,000 bond making payment in this fashion would have a \$100 bond remaining. These provisions were thus equivalent to convertibility of 90% of each bond into common.